

Private Credit as a Structural Allocation

Why Governance, Not Yield, Determines Long-Term Outcomes

Chung Hei Sing

October 2023

Private Credit as a Structural Allocation

Why Governance, Not Yield, Determines Long-Term Outcomes

Abstract

Private credit is often framed as a yield-driven substitute for bank lending or public credit. This paper argues that such framing misidentifies the primary determinant of long-term outcomes. As private credit has matured into a structural allocation for institutional portfolios, performance dispersion is explained less by entry yield or strategy labels than by governance capability: covenant design, information rights, monitoring intensity, and the capacity to intervene during borrower underperformance. The paper develops a governance-centered framework for evaluating private credit, emphasizing “control without ownership” as its distinguishing institutional mechanism—positioned between public credit’s reliance on market exit and private equity’s ownership-based control. A comparison table clarifies how control, governance intensity, and failure modes differ across these asset classes, while a stylized amend-and-extend vignette illustrates where governance becomes observable across the cycle. The paper closes with implications for manager selection, portfolio oversight, and the limits of financial innovation efforts—including tokenization—that seek to increase liquidity or transferability without preserving the governance mechanisms that underpin credit outcomes.

Keywords: private credit; institutional investors; capital allocation; governance design; covenant enforcement; control without ownership; non-bank credit intermediation; fiduciary oversight; credit cycles; real-world assets

How to cite this paper: Sing, C. H. (2023). Private credit as a structural allocation: Why governance, not yield, determines long-term outcomes. Working paper.

1. Introduction: From Yield Opportunity to Structural Allocation

Private credit has evolved from a niche response to post–financial-crisis bank retrenchment into a permanent structural allocation within institutional portfolios. Pension funds, insurance companies, endowments, and sovereign investors increasingly allocate to private credit not as a tactical yield enhancement, but as a long-duration component of their capital allocation framework. This shift reflects a deeper reassessment of how institutional capital seeks control, predictability, and downside protection in an environment characterized by compressed public-market returns and heightened volatility.

Despite this maturation, prevailing narratives continue to frame private credit primarily through the lens of yield. Discussions focus on spread differentials, benchmark substitution, and relative value versus public credit, often treating governance considerations as secondary. This framing misidentifies the primary determinant of long-term outcomes. While yield is easily observable and comparable, it does not explain why similarly positioned private credit portfolios experience materially different performance across cycles.

This paper argues that private credit should be understood as a governance-intensive structural allocation. Long-term outcomes are shaped less by entry yield or strategy labels than by the quality of contractual control, monitoring discipline, and intervention capability embedded in the lending relationship. These governance mechanisms—often opaque at inception—become decisive under stress, when lenders must choose between enforcing control or deferring recognition of deterioration.

Reframing private credit in this way has important implications for institutional decision-making. It shifts emphasis from yield optimization to governance capability, from manager branding to organizational design, and from static portfolio construction to dynamic oversight across the credit cycle. It also clarifies the limits of financial innovation efforts that seek to increase liquidity or transferability without preserving the governance structures that underpin credit outcomes.

2. The Institutionalization of Private Credit

The growth of private credit is often described as a response to post–financial-crisis bank retrenchment. While regulatory change created the initial conditions for expansion, it does not fully explain the scale, persistence, or institutional character of private credit today. What has occurred instead is a deeper structural transition: private credit has evolved from an opportunistic lending alternative into a permanent allocation within institutional portfolios. Understanding this shift is essential, as it alters not only who provides capital, but how credit risk is governed, monitored, and managed over time.

2.1 From Bank Retrenchment to Permanent Capital

The expansion of private credit is often attributed to regulatory constraints imposed on banks following the global financial crisis. While bank retrenchment created the initial opportunity set, it does not explain the persistence or scale of institutional demand observed today. If private credit were merely a cyclical substitute for bank lending, allocations would have receded as conditions normalized. Instead, institutional capital has continued to deepen its exposure across market environments.

This persistence reflects a structural shift. Private credit has transitioned from episodic deployment into permanent capital. Funds now operate with extended investment periods, repeat deployment expectations, and ongoing relationships with borrowers and sponsors. For institutional investors, private credit is no longer a temporary dislocation trade but an enduring allocation designed to complement public credit and private equity.

This institutionalization has consequences. As capital becomes permanent, performance depends less on opportunistic entry points and more on governance practices that can be sustained across cycles. The asset class increasingly rewards organizational capability rather than market timing.

2.2 Who Allocates to Private Credit—and Why

The primary allocators to private credit—pension funds, insurers, endowments, and sovereign wealth funds—share common structural characteristics. They manage long-dated liabilities, seek predictable income, and exhibit limited tolerance for short-term mark-to-market volatility. For these investors, private credit offers contractual cash flows, seniority in the capital structure, and the ability to negotiate bespoke terms unavailable in public markets.

Importantly, these allocators are not simply pursuing incremental yield. They are allocating to a governance framework. Private credit provides mechanisms to influence borrower behavior through covenants, reporting requirements, and consent rights. These mechanisms allow institutional investors to manage downside risk actively rather than relying solely on market exit.

Viewed through this lens, private credit is less about replacing banks and more about replicating—and in some cases improving upon—the governance functions banks historically performed, but within structures better aligned with institutional capital.

2.3 Private Credit as Infrastructure-Like Capital

As private credit portfolios mature, their behavior increasingly resembles that of infrastructure investments rather than traded securities. Capital is committed for extended periods, liquidity is limited by design, and value realization depends on ongoing oversight rather than secondary market pricing. Performance unfolds over years through monitoring, renegotiation, and intervention rather than through frequent trading.

This infrastructure-like character underscores the centrality of governance. Just as infrastructure outcomes depend on concession design, regulatory engagement, and operational oversight, private credit outcomes depend on covenant enforcement, borrower engagement, and workout capability. In both cases, governance quality—not headline returns—determines long-term value preservation.

3. Capital Structure, Control, and Governance

Capital structure is central to how control is exercised in private credit. Unlike public credit or private equity, where control is mediated primarily through markets or ownership, private credit relies on contractual design to allocate rights, responsibilities, and enforcement authority. Seniority, covenants, and consent provisions collectively define how lenders influence borrower behavior and respond to underperformance. This section examines how capital structure functions not merely as a financing arrangement, but as a governance framework that shapes outcomes across the credit lifecycle.

3.1 Position in the Capital Stack

Private credit typically occupies senior secured or unitranche positions within the capital structure, granting priority claims on cash flows and collateral. While this positioning provides formal downside protection, it does not, by itself, ensure favorable outcomes. Control in private credit is exercised not through ownership but through contractual rights that activate under predefined conditions.

These rights are only as effective as the institutions that enforce them. Seniority without enforcement capacity can result in delayed recognition of impairment and diminished recoveries. As a result, capital stack positioning must be evaluated alongside governance capability.

3.2 Covenants as Governance Mechanisms

Covenants in private credit are frequently described as risk mitigants, but their more fundamental role is governance. Financial covenants, information rights, consent provisions, and restrictions on borrower behavior establish an ongoing framework through which lenders influence decision-making throughout the life of the loan.

The effectiveness of these mechanisms depends on discipline at entry and consistency over time. Weak covenants or permissive amendment practices dilute control and shift bargaining power toward borrowers. Strong governance requires not only contractual rights but also the institutional willingness to exercise them, even when doing so may disrupt short-term performance metrics.

3.3 Control Without Ownership

Private credit exemplifies a distinctive form of institutional control: control without ownership. Unlike private equity, lenders do not direct strategy or appoint boards. Unlike public credit, they are not limited to exit through secondary markets. Instead, they rely on negative control rights, information asymmetry reduction, and the credible threat of enforcement.

This governance model occupies an intermediate position between markets and hierarchy. It is powerful when supported by monitoring, legal expertise, and organizational resolve, but fragile when governance capacity is weak. Understanding this form of control is essential to evaluating private credit as an asset class.

Table 1. Control, Governance, and Outcome Drivers Across Asset Classes

Asset Class	Primary Return Driver	Control Mechanism	Governance Intensity	Typical Failure Mode
Public Credit	Yield, duration	None (market exit)	Low	Mark-to-market loss
Private Credit	Contractual control	Covenants, workouts	High	Silent impairment
Private Equity	Ownership & control	Board authority	High	Strategic misexecution

4. Yield Is Observable; Governance Is Not

Yield plays a central role in how private credit is discussed, marketed, and evaluated. It is readily observable, easily comparable, and often treated as a proxy for risk-adjusted performance. However, an exclusive focus on yield obscures the underlying drivers of long-term outcomes in private credit portfolios. The mechanisms that ultimately determine performance—governance quality, control rights, monitoring discipline, and intervention capability—are far less visible at inception, yet become decisive over time. This section examines the disconnect between observable yield and unobservable governance, and explains why governance quality, rather than headline returns, drives performance dispersion across managers and cycles.

4.1 The Limits of Yield as a Signal

Yield is the most visible and easily communicated characteristic of private credit investments. It is also the least informative about long-term outcomes. Competitive pressures compress spreads over time, and late-cycle deployment can inflate headline returns while masking deterioration in underwriting standards and covenant strength.

Because private credit lacks continuous market pricing, yield can remain stable even as risk accumulates. This creates a false sense of security and encourages comparisons that obscure underlying governance differences between portfolios.

4.2 Governance Quality as the Dominant Variable

The factors that most influence private credit outcomes—underwriting discipline, covenant negotiation, monitoring intensity, and workout capability—are difficult to observe *ex ante*. They are embedded in organizational processes rather than transaction terms and are rarely disclosed in marketing materials.

Yet these factors become decisive under stress. Managers with similar strategies and yields can experience radically different outcomes based on how they govern their portfolios when borrowers underperform. Governance quality, rather than strategy selection, explains much of the observed dispersion in private credit returns.

4.3 Explaining Dispersion Across Managers and Cycles

Return dispersion in private credit is often attributed to vintage effects or sector exposure. While these factors matter, they are secondary to governance capability. Portfolios constructed with strong entry discipline, robust monitoring, and credible enforcement mechanisms tend to preserve value across cycles. Those that rely on permissive governance and delayed intervention accumulate losses that may remain hidden for extended periods.

Recognizing governance as the dominant explanatory variable reframes how institutional investors evaluate managers and assess risk. It shifts attention from static metrics to dynamic organizational capability—an orientation better suited to the long-duration nature of private credit.

5. Private Credit Across the Cycle: Where Governance Becomes Observable

Governance quality in private credit is often invisible during benign market conditions. Stable cash flows, covenant headroom, and favorable refinancing environments can mask meaningful differences in underwriting discipline and monitoring intensity. It is only when conditions tighten—through macroeconomic stress, sectoral disruption, or borrower-specific deterioration—that governance mechanisms become observable and outcomes begin to diverge.

This section examines how governance manifests across the credit cycle, emphasizing that private credit performance is shaped less by initial deal terms than by how lenders respond when assumptions are challenged.

5.1 Entry Discipline and Late-Cycle Risk

Entry discipline is the earliest and least visible expression of governance quality in private credit portfolios. During periods of strong fundraising and elevated deal flow, pressure to deploy capital can lead lenders to accept higher leverage, weaker covenants, and more permissive documentation. These compromises are often justified as market-driven or temporary, yet they fundamentally alter the balance of control embedded in credit agreements.

Unlike public credit markets, where risk repricing occurs continuously through secondary trading, the consequences of weakened entry discipline in private credit remain latent. Yield remains attractive, reported performance stable, and portfolio-level risk difficult to detect. As a result, portfolios constructed late in the cycle can appear indistinguishable from more conservatively underwritten vintages—until stress reveals the difference.

From a governance perspective, entry discipline is not primarily a function of market timing but of institutional design. Platforms with strong governance are willing to slow deployment, tighten terms, or return capital rather than dilute control. By contrast, platforms under pressure to deploy capital often accept weaker terms and higher risk, with the consequences only becoming visible when the cycle turns.

5.2 Amend-and-Extend as a Governance Test

When borrowers underperform, private credit lenders face a critical decision: whether to enforce contractual rights or renegotiate terms. Amend-and-extend transactions—where maturities are lengthened and covenants modified—are common responses to stress and serve as a revealing test of governance quality.

At their best, such amendments preserve value by providing borrowers with time and flexibility to execute credible recovery plans. At their worst, they defer recognition of impairment, weaken lender control, and convert temporary underperformance into structural loss. The distinction lies not in the existence of amendments, but in the conditions under which they are granted and the discipline with which they are monitored.

Box 1. Amend-and-Extend as a Governance Test

Consider a mid-market borrower experiencing declining cash flows late in the credit cycle. Rather than triggering default, lenders confront a choice: enforce covenants and initiate restructuring, or amend terms to extend maturity and preserve headline performance. Amend-and-extend solutions can be value-preserving when grounded in realistic operating assumptions, equity support, and enhanced lender control. They become problematic when driven by reluctance to recognize losses or maintain reported returns.

Platforms with strong governance impose conditions: revised covenants, increased reporting frequency, operational oversight, and clear milestones for recovery. Those with weaker governance defer decisions, dilute control rights, and rely on optimistic projections. Over time, these choices compound, producing materially different outcomes that only become visible when exit options narrow.

5.3 Workouts, Restructuring, and Silent Losses

Effective workout capability is central to private credit performance. Unlike public credit, where losses are realized through market repricing, losses in private credit are often “silent,” emerging through extensions, covenant waivers, reduced recoveries, or prolonged capital impairment. These outcomes may not be immediately reflected in reported returns, creating incentives to delay decisive action.

Governance quality determines whether workouts are approached proactively or defensively. Proactive platforms mobilize legal, operational, and restructuring expertise early, preserving optionality and negotiating leverage. Defensive platforms defer intervention, eroding recoveries and increasing severity of the ultimate loss. Over a full cycle, differences in workout capability explain a substantial portion of performance dispersion across private credit managers.

6. Institutional Design Implications

Recognizing private credit as a governance-intensive asset class has direct implications for institutional portfolio construction and oversight. Allocating to private credit is effectively a decision to outsource governance, making manager selection a choice about organizational capability rather than strategy labels.

6.1 Manager Selection as Governance Selection

Traditional manager due diligence often emphasizes track records, sector focus, and underwriting statistics. While relevant, these metrics provide limited insight into how managers behave under stress. Governance-oriented evaluation focuses instead on decision-making processes, escalation protocols, workout experience, and cultural incentives. Institutional investors that fail to assess these dimensions risk selecting managers optimized for deployment rather than resilience.

6.2 Portfolio Construction Beyond Yield and Vintage

Portfolio diversification in private credit is commonly framed around vintage year, sector exposure, or borrower type. A governance-centric approach adds another dimension: diversification across governance models. Differences in monitoring intensity, covenant

philosophy, and enforcement posture create diversification benefits that are not captured by traditional allocation frameworks.

6.3 The Limits of Scale in Private Credit Platforms

As private credit platforms scale, maintaining governance consistency becomes increasingly challenging. Larger platforms face pressures to deploy capital, standardize processes, and accommodate diverse investor expectations. Without deliberate institutional design, scale can erode entry discipline and dilute enforcement capacity, undermining the very attributes that attract institutional capital.

7. Implications for Financial Innovation and Tokenization

Recent interest in tokenizing credit instruments has focused on liquidity, transparency, and broader investor access. Private credit highlights the limits of such innovation. Governance in private credit is discretionary, relational, and context-specific—features that are difficult to encode or transfer without loss of control.

Tokenization may eventually function as a distribution or reporting layer, but without preserving governance mechanisms, it risks stripping away the attributes that make private credit attractive to institutional investors. In this sense, private credit serves as a cautionary case for broader efforts to treat real-world assets as standalone financial instruments without preserving the governance and control mechanisms that underpin institutional performance.

8. Conclusion: Private Credit as a Governance Asset Class

Private credit has matured into a structural allocation defined less by yield than by governance. Long-term outcomes depend on contractual design, monitoring discipline, and the capacity to intervene when borrowers underperform. Yield is observable and easily compared; governance is opaque and difficult to assess, yet it is governance that ultimately determines performance across cycles.

For institutional investors, this reframing shifts attention from strategy labels to organizational capability, from entry pricing to intervention readiness, and from static portfolio construction to dynamic oversight. For policymakers and market designers, it underscores the limits of financial innovation that seeks to increase liquidity or transferability without preserving governance. Understanding private credit as a governance-intensive asset class clarifies both its role in institutional portfolios and the conditions under which it can deliver durable outcomes.

References

Aldasoro, I., Doerr, S., & Zhou, H. (2023). Non-bank lending during crises. *BIS Working Paper No. 1074*.

BIS & CPMI. (2023). Quarterly review, March 2023. *Bank for International Settlements & Committee on Payments and Market Infrastructures*.

BIS & CPMI. (2023). Quarterly review, September 2023. *Bank for International Settlements & Committee on Payments and Market Infrastructures*.

Esty, B. C. (2004). Why study large projects? An introduction to research on project finance. *European Financial Management*.

Federal Reserve Board. (2023). Financial stability report. *Board of Governors of the Federal Reserve System*.

FSB. (2022). Global monitoring report on non-bank financial intermediation. *Financial Stability Board*.

Inderst, G. (2010). Infrastructure as an asset class. *European Investment Bank Papers*.

IMF. (2023). Global financial stability report: financial and climate policies for a high-interest-rate era. *International Monetary Fund*.

IMF. (2023). Global financial stability report: safeguarding financial stability amid high inflation and geopolitical risks. *International Monetary Fund*.

OECD. (2020). Structural developments in global financial intermediation. *Organisation for Economic Co-operation and Development*.

OECD. (2020). The tokenisation of assets and potential implications for financial markets. *Organisation for Economic Co-operation and Development*.

UNEP FI & PRI. (2019). Fiduciary Duty in the 21st Century: Final report. *UNEP Finance Initiative & Principles for Responsible Investment*.